

In the oil industry, the undervaluation of many companies stems largely from corporate strategies that have yielded dismal returns on recent investments. For years, many oil companies poured funds into marginal exploration programs, underutilized refineries, and unsuccessful diversification efforts. These investments continued despite ominous economic signals such as excess supply, diminished demand, declining prices, and low inflation.

A 1985 study by Bernard J. Picchi, a petroleum analyst with the investment firm of Salomon Brothers, documented the subpar returns achieved by 30 large oil companies on their exploration expenditures. From 1982 through 1984, Picchi reported, the companies' expenditures on exploration far exceeded the discounted present value of their added oil and gas reserves. His findings indicate that every dollar invested yielded new oil and gas reserves with a present value of only \$.80.

"Very few companies really have very much to crow about," Picchi told a group of drilling contractors in November 1985. "Most firms' exploration expenditures, in my estimation, have achieved such poor rates of return as to constitute a waste of the shareholders' assets."

Despite clear indications of declining industry fundamentals, America's major oil companies spent approximately \$105 billion on exploration and development from 1982 through 1984. Extrapolating from Picchi's findings, we see that the major oil companies lost as much as \$200 billion in present value during this period.

What many managements seem to be demanding is more time to keep making the same mistakes.

The oil companies' ill-conceived attempts to diversify have compounded their problems. In the late 1970s and